QUANTUM BUSINESS SOLUTIONS, LLC

Attorney Review Brief

Quantum Business Solutions standard agreements

Prepared: November 3, 2026 | **From:** Shawn Peterson, CEO, Quantum Business Solutions, LLC (South Dakota LLC)

What we are asking

Please review the document set below for enforceability and gaps, in South Dakota and in the states where our team and clients are located. Confirm what is sound and tighten what is not. The business choices listed on the next page are deliberate, so please change them only where they are unenforceable or create real risk.

The documents

- Mutual Non-Disclosure Agreement (client and prospect form, signed by Quantum in advance).
- Data Processing Agreement (client form, signed by Quantum in advance).
- Information Security Overview (informational; Quantum is not SOC 2 certified and says so).
- Confidentiality, IP and Non-Solicitation Agreement (employees and contractors, with a state-by-state exhibit).
- Information Security and Acceptable Use Policy, including incident response and a signed acknowledgment.

Not in this set: our client services terms, which sit in our quotes and proposals.

Deliberate business choices

- NDAs are mutual. Governing law is South Dakota, venue is Minnehaha County, and each side bears its own legal fees.
- Quantum's liability is limited to the limit stated on its certificate of insurance when a claim is made. Neither side gives an indemnity in the DPA.
- Team members sign a non-solicitation agreement only, with no non-compete. The restricted period is 12 months, and it covers clients, prospects, clients' customers and Quantum's team.
- Clients and Quantum agree to a mutual 12-month no-poaching clause that includes hiring.
- No promise about AI training, but data protection terms apply to client personal data and Quantum keeps a general know-how carve-out.
- Training and signed agreements are being rolled out now, with a target of December 31, 2026. Documents are re-signed each November.

Questions, in priority order

- **Team non-solicit:** Is it enforceable in South Dakota and in the states where our people live? Please check each row of Exhibit B (CA, ND, MN, CO, IL, WA, OK, WI, LA, SD) and tell us whether we should issue state-specific versions.
- **Consideration:** Is continued employment or engagement enough for current employees and contractors who sign now? If not, what is the minimum fix?
- **Classification:** Several team members are 1099 contractors. Do the agreement, the policy (training, devices, monitoring, reporting) or the ban on side work for our clients create misclassification risk? Do we need a separate independent contractor agreement?
- **IP assignment:** Is the present assignment by contractors effective? Do the state invention-notice laws (CA, WA, MN, IL and others) require us to attach statute text?
- **Liability cap:** Is a cap tied to the limit on our certificate of insurance clear and enforceable? What carve-outs will clients demand, and which are safe to give?
- **No-hire clause:** Is the mutual 12-month clause, including hiring, enforceable? Are there antitrust or state-law concerns?
- **Breach notice:** Is notice within 72 hours after Quantum determines that a Security Incident occurred adequate under state breach laws, and does it fit our insurer's consent requirements?
- **Advance signature:** Is Quantum's signature on a form with counterparty blanks, signed as an image, valid and safe?
- **Monitoring and devices:** Do the monitoring, work-profile removal and 24-hour reporting terms meet state notice rules (for example CT, DE, NY)?
- **Outbound programs:** Where in our client terms should list-consent responsibility and an indemnity for list claims sit?

Insurance context

Technology professional liability policy (United States Liability Insurance Group) with endorsement TK-228 (network security, privacy and media liability) and TK-252 (data breach expense and regulatory defense, $1,000,000 combined). The policy is claims-made. It excludes contractual guarantees, fee refunds, cost-estimate overruns, and spam and calling-law claims. Please flag any place where our documents promise more than the policy covers.